



Final Audit Report

Audited Body	
Puro.earth Project Proponent	Alcom Carbon Markets Pvt Ltd
Name of Contact for Puro.earth Project Proponent	Siddharth Kaul
Production Facility Operator	Alcom Carbon Markets Pvt Ltd
Name of Contact for Production Facility Operator	Jose De Jesus
Production Facility Location	Brgy. Singalat, Palayan City, Nueva Ecija, Philippines

Audit Description	
Type of Audit	Output Audit
Number of CORCs under Audit	429*
Dry biochar volume covered by this audit	516.685 tonnes
Reporting Period Covered by Audit	3 June 2022 to 11 December 2023
Objective of Audit Engagement	Provide assurance opinion against requirements of Puro.earth Rules v3.1 (Edition 2023)
Date of Auditor Engagement	19 January 2024
Date of Audit Report Submission	19 February 2024

Reporting Requirements	
Number of eligible CORCs	420*
Tonnes of eligible dry biochar	516.221 tonnes
CORC conversion factor (Facility)	0.8565 tCO ₂ e per tonne dry biochar
Calculation Method	Biochar Methodology

Auditing Body	
Auditor	EnergyLink Services Pty Ltd
Lead Auditor	Rodrigo Pardo
Additional Audit Personnel	Brandon Melyadi
Peer Reviewer	Mark Wallace

Note:

* There was an overlap in the period covering the proponent's previous and this audit. Therefore, 22 CORCs that were in the previous audit's reporting period were subtracted from this audit, this is:

- For the number of CORCs under Audit: $451 - 22 = 429$ CORCs; and
- For the number of eligible CORCs: $442 - 22 = 420$ CORCs.

This document details the nature and scope of the services provided by a member of EnergyLink Services in respect of the eligibility of the CO₂ Removal Supplier Production Facility under the requirements of Annex A: Biochar Methodology to the Puro Standard General Rules v3.1 (Edition 2023).

This document is issued to Puro.earth detailing audit procedures conducted and the auditor’s opinion in relation to the eligibility of the Production Facility. It should not be used for any other purpose.

Because of the inherent limitations in any internal control structure, it is possible that fraud, error, or non-compliance with laws and rules may occur and not be detected. Further, the audit was not designed to detect all weakness or errors in internal controls so far as they relate to the requirements set out above as the audit has not been performed continuously throughout the period and the procedures performed on the relevant internal controls were on a test basis. Any projection of the evaluation of control procedures to future periods is subject to the risk that the procedures may become inadequate because of changes in conditions, or that the degree of compliance with them may deteriorate.

The audit opinion expressed in this report has been formed on the above basis.

Copies of relevant documentation are available on the Puro.earth website: puro.earth

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Abbreviation	Description
'H'	Hydrogen
'O'	Oxygen
CO ₂	Carbon Dioxide
CORC	CO ₂ Removal Certificate
C _{org}	Organic Carbon
GHG	Greenhouse Gas
LCA	Life Cycle Assessment
OC	Overcalculation
UC	Undercalculation
The Puro Rules	the Puro Standard General Rules v3.1 (Edition 2023)
The Biochar Methodology	Edition 2022 v2 Annex A: of the Puro Rules

PART A: Auditor's Report

To: Puro.earth

Dear Sir / Madam,

EnergyLink Services Pty Ltd (EnergyLink Services) were engaged to perform a reasonable assurance audit of Alcom's CO₂ Removal calculation from the production of biochar for the period 3 June 2022 to 11 December 2023 against the eligibility requirements of 'the Puro Standard General Rules v3.1 Edition 2023' (hereafter referred to as "the Puro Rules").

Details of Audited Body

Puro.earth Project Proponent	Alcom Carbon Markets Pvt Ltd
Production Facility Operator	Alcom Carbon Markets Pvt Ltd GSRN: 643002406801000000
Production Facility location	Brgy. Singalat, Palayan City, Nueva Ecija, Philippines

Responsibility of the Audited Body's Management

The management of the audited body (Alcom) is responsible for the application of the requirements of 'Annex A: Biochar Methodology of the Puro Rules Edition 2022 v2' (hereafter referred to as "the Biochar Methodology") in quantifying CO₂ Removal Certificates (CORCs) from the production of biochar, which is reflected in the proof provided to EnergyLink Services.

The management of the audited body is responsible for the preparation and presentation of the evidence in accordance with Section 5 the Biochar Methodology. This responsibility includes the design, implementation, and maintenance of internal controls relevant to the preparation and presentation of proofs that are free from material misstatement, whether due to fraud or error.

Our independence and quality control

EnergyLink Services have complied with the relevant ethical requirements relating to assurance engagements, which include independence and other requirements founded on fundamental principles of integrity, objectivity, professional competence, due care, confidentiality, and professional behaviour. These include all the requirements defined in the *Fortum – Supplier Code of Conduct*¹.

Furthermore, EnergyLink Services maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements, in accordance with *ISQC 1 Quality Control for Firms that Perform Audits and Reviews of Financial Reports and Other Financial Information*.

Our responsibility

EnergyLink Services' responsibility is to express an opinion on the Alcom's quantification of CORCs and compliance with the *Puro Rules* based on the procedures we have performed and the evidence we have obtained.

¹ Fortum (2020), Fortum – Supplier Code of Conduct, available at: www.fortum.com/about-us/contact-us/suppliers/code-of-conduct

We have conducted a reasonable assurance engagement in accordance with the *Puro Rules* and relevant international standards, as listed below:

- International Standards on Assurance Engagements ISAE 3000 Assurance Engagements other than Audits or Reviews of Historical Financial Information.
- ISQC 1 Quality Control for Firms that Perform Audits and Reviews of Financial Reports and Other Financial Information, and Other Assurance Engagement.

A reasonable assurance engagement in accordance with relevant international standards involves performing procedures to obtain evidence about the Production Facility process controls and quantification of CORCs in accordance with the *Puro Rules*. The nature, timing and extent of procedures selected depend on the assurance practitioner's judgement, including the assessment of the risks of material misstatement, whether due to fraud or error. In making those risk assessments, we considered internal controls relevant to the audited body's preparation of proofs. We believe that the assurance evidence we have obtained is sufficient and appropriate to provide a basis for our assurance conclusion.

Summary of procedures undertaken

The procedures we conducted in our reasonable assurance engagement included:

- reviewing evidence provided by the audited body;
- assessing the audited body against eligibility criteria;
- conducting interviews and a virtual site visit to validate the evidence provided;
- analysing procedures that the audited body used to gather data;
- testing of calculations that the audited body performed; and
- identifying and testing assumptions supporting the calculations.

Use of our reasonable assurance engagement report

This audit report has been prepared for use by the audited body and Puro.earth for the sole purpose of reporting on the audited body's quantification of CORCs and compliance with the *Puro Rules*. Accordingly, EnergyLink Services expressly disclaim and do not accept any responsibility or liability to any party other than Puro.earth and the audited body for any consequences of reliance on this report for any purpose.

Inherent limitations

There are inherent limitations in performing assurance audits - for example, assurance engagements are based on selective testing of the information being examined - and because of this, it is possible that fraud, error, or non-compliance may occur and not be detected. An assurance engagement is not designed to detect all misstatements, as an assurance engagement is not performed continuously throughout the period that is the subject of the engagement, and the procedures performed are based on a test basis. The conclusion expressed in this report has been formed on the above basis.

Additionally, non-financial data may be subject to more inherent limitations than financial data, given both its nature and the methods used for determining, calculating, and sampling or estimating such data.

Corrective Action Requests and Recommendations

During the audit process, the auditor issued 4 corrective action requests, 5 recommendations and 1 carry forward recommendation. The auditor verified that Alcom had addressed all corrective actions requests and as such is satisfied that the correct calculations had been provided.

Corrective Action Request 1

The auditor noted that some dates had been incorrectly listed due to incorrect date formats (e.g., US date format when it should have been UK date format and vice versa). Subsequently, Alcom reviewed and amended the date formats to be in UK date format.

Corrective Action Request 2

The auditor noted that some delivery receipts for the biochar sold had not been dated and/or signed by the Purchaser. Subsequently, Alcom requested the relevant Purchasers to date and sign the delivery receipts.

Corrective Action Request 3

The auditor noted the following issues regarding the LCA inputs and calculations:

- The GHG emissions for machinery had been calculated but not included in the tCO₂e/tonne of rice husk emissions factor. However, the emissions were considered in the final CORC calculations;
- The quantity of biochar sold had been used, instead of the quantity of biochar produced, to calculate the GHG emissions and the tCO₂e/tonne of biochar related to production. These calculations impacted the Ebiomass, Eproduction and Estored. Although the impact was insignificant due to the similar values of production and sales in this reporting period;
- The incorrect number of days of operation had been used;
- The quantity of biochar sold was ~1 tonne more than the quantity of biochar produced, as such the quantity of biochar produced had been used as the quantity of biochar sold because it was the most conservative of the two values;
- Some receipts and/or logbooks for rice husk delivery, biochar produced, and biochar sold had been incorrectly or not transcribed to the biochar inventory summary;
- The emissions associated with biochar sales packaging/bags had not been accounted for in the LCA; and
- For stages where the quantity of rice husk was not relevant (e.g., during biochar application and bagging), the associated emissions factors in tonne of biochar had been converted to tonne of rice husk, which is then re-converted to tonne of biochar using the ratio of rice husk vs biochar, instead of calculating directly from the tCO₂e/tonne of biochar.

Subsequently, Alcom reviewed their LCA calculation and amended the above actions.

Corrective Action Request 4

The auditor noted that Alcom had a procedure to include a “no-double counting clause” in their delivery receipts/invoices for biochar sold, however this procedure had not been implemented. Subsequently, Alcom revised their delivery receipt/invoice template to include the no-double counting clause.

Recommendation 1

The auditor recommends that Alcom transcribe the gross, tare and net weight in a document (e.g., MS Excel) from the receipts of the delivery of rice husks and biochar to calculate the average weight of loaded and unloaded trucks.

Recommendation 2

The auditor recommends that Alcom use a consistent date format (i.e., either UK format or US format) across all documents.

Recommendation 3

The auditor recommends that Alcom augment their quality assurance and record keeping procedures to ensure that:

- The LCA includes all relevant emissions e.g., biochar packaging bags;
- Calculations in the LCA are peer reviewed; and
- Inputs to the LCA are correct, accurate, well documented and consistent with supporting evidence.

Recommendation 4

The auditor recommends that Alcom obtain all relevant evidentiary documents to support any claim or assumptions in relation to the LCA calculations (e.g., diesel use factor for biochar application).

Recommendation 5

The auditor recommends that Alcom enhance their internal sales procedure to ensure that a “no-double counting clause” is included where relevant (e.g., marketing materials, invoices, receipts, etc.) and that the biochar Purchaser is aware of it.

Carry Forward Recommendation 1

The auditor recommended that Alcom measure the actual electricity consumption of the facility².

Overall Conclusion

Positive Conclusion (Production Output Audit).

Facility Production Stream Summary

In the lead auditor’s opinion, the carbon removal activity performed in the audited CO₂ Removal Supplier’s Production Facility met the eligibility requirements of the Puro Rules. However, due to the matters described in *Corrective Action Requests and Recommendations*, the tCO₂e per dry tonne biochar had been updated to reflect the changes made to the LCA calculations.

Initial CO ₂ Removal	Eligible CO ₂ Removal
0.873 tCO ₂ e per dry tonne biochar	0.8565 tCO ₂ e per dry tonne biochar

Production Output Audit

The lead auditor is able to express a reasonable assurance opinion that, in all material respects, the quantification of 442 CO₂ Removal Certificates (CORCs) for the reporting period 3rd June 2022 to 11th December 2023 are eligible for creation. However, there was an overlap in the period covering the proponent’s previous audit (10 June 2022 to 26 January 2023) and this audit. Therefore, 22 CORCs that were in the previous audit’s reporting period were subtracted from this audit (442 - 22 = 420 CORCs). As such, only **420 CO₂ Removal Certificates (CORCs)** are eligible for creation under this audit.

The audit procedures indicated that an overcalculation of 9 CORCs was made by the audited body.

² It was noted the Alcom was conducting electrical works with Nueva Ecija Electricity Cooperative (NEECO) to split the electricity use between the grain drying and the biochar producing facilities.

The lead auditor notes that the absolute error rate is below 5%, therefore the quantitative error identified during the audit is not considered material. A summary of the recalculations performed can be found in Table 8 of Appendix B: Summary of Calculation Errors.

Biochar	CORCs Under Audit	Abs. Error (CORCs)	Net Error (CORCs)	Eligible CORCs	Abs. Error Rate (%)	Net Error Rate (%)
Total	451	9	9 OC	442	2.00%	2.00%

*OC = Overcalculation / UC = Undercalculation

Sincerely,



Rodrigo PARDO PATRON | Director of Engineering
EnergyLink Services Pty Ltd
Lead Auditor
19 February 2024

Part B: Detailed Findings

Audit Findings and Conclusions

Table 1 to Table 6 summarise the findings from the Production Output Audit. As part of the audit procedures, the auditor performed interviews with site representatives and a virtual site visit to the Production Facility. Where possible, the findings from these procedures were used to validate that the eligibility criteria under the methodology had been met, that the proofs and evidence provided by the audited body were accurate, and that the metering used to quantify the Output was appropriate and correctly calibrated (for details refer to Appendix A).

Eligibility Assessment

Table 1: Eligibility Assessment

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Confirm that the biochar is used in applications other than energy.	Y	The auditor confirmed that the produced biochar was used as a soil amendment for agricultural purposes.	N/A
Confirm that the biochar is produced from sustainable forest or waste biomass raw materials.	Y	The auditor confirmed that the biochar was produced from sustainably sourced biomass, predominantly from waste biomass raw materials. The feedstocks were composed of rice husk.	N/A
Confirm that the producer demonstrates net-negativity with results from a LCA that shows: – carbon footprint of the biomass production and supply. – emissions from the biochar production process. – carbon footprint of the biochar end use. – cradle to grave.	Y	Except where noted in Table 3, the auditor confirmed that the LCA provided by Alcom included all information on the emissions of the different stages of the biochar cradle-to-grave life cycle.	N/A

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Confirm that the biochar production process meets requirements 1.1.4 to 1.1.6 of the Biochar Methodology, namely that: - no fossil fuel is used for heating the pyrolysis reactor - the pyrolysis gases are recovered or combusted - the molar H/C_{org} ratio is less than 0.7	Y	The auditor confirmed that although the gasification system is an auto thermal process in which the thermal energy required to run the process is created from the feedstock being process, the system used diesel to pre-heat the process up to the required temperature. Once these thermal conditions were achieved, the heat required to sustain the reaction is taken from the combustion of the pyrolysis syngas and recovery of the waste heat generated within the process.	N/A
		The pyrolysis gases are recovered and combusted.	
		The auditor confirmed that the molar H/C _{org} ratio was less than 0.7.	
Confirm that measures are taken for safe handling and transport of biochar to prevent fire and dust hazards.	Y	The auditor confirmed that measures are taken to ensure safe handling and transport of biochar.	N/A

Standing Data

Table 2: Record Keeping

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Confirm that the standing data of the Production Facility and the CO ₂ Removal Supplier was collected and checked.	<u>Observation</u>	The auditor noted that Alcom had assumed a 50% weight loss for unloaded trucks in comparison to loaded trucks. While Alcom made this assumption, it did collect this data in receipts; therefore, they should use actual data for their LCA calculations.	Recommendation 1
	Y	The auditor confirmed that the standing data of the Production Facility and the CO ₂ Removal Supplier was collected and checked.	N/A

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Confirm that the standing data of the Production Facility and the CO ₂ Removal Supplier was collected and checked. (cont.)	<u>Observation</u>	The auditor noted that some dates had been incorrectly listed due to different date formats (e.g., US date format when it should've been UK date format and vice versa). For example, the data source (e.g., receipts) might use the US date format, while the excel summary used UK date format.	Corrective Action Request 1 Recommendation 1
	<u>Finding</u>	The auditor noted that some delivery receipts for the biochar sold (delivered by Alcom to customer) had not been dated and/or signed by the Purchaser.	Corrective Action Request 2

Production Facility Assessment

Table 3: Production Facility assessment

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Confirm the Production Facility Eligibility under the general rules of Puro Standard.	Y	The auditor confirmed that the Alcom had gone through a Production Facility Audit in 2023 and achieved a positive outcome.	N/A
Confirm that the Production Facility demonstrate Environmental and Social Safeguards.	Y		N/A
Confirm that the Production Facility demonstrate additionality, that the CO ₂ removals are a result of carbon finance, and that the project is not required by existing regulations or other obligations.	Y		N/A

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Confirm that metering infrastructure is in place to determine: - the production output. - the energy use of the Production Facility.	Partial	The auditor confirmed that the Production Facility has procedures in place to quantify the electricity and fuel consumed by its operations using their production records. Noting that production facility is shared with a rice husk drying facility and has a shared electricity account. Alcom is currently conducting electrical works with Nueva Ecija Electricity Cooperative (NEECO) to split the electricity use between grain drying unit and the gasifier.	Carry Forward Recommendation 1

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Confirm the calculations used to quantify emissions from the process. These must account for: - The energy created by the biochar. - The energy source used in the production process. - Cultivating and harvesting of raw materials (forest vs other biomass). - Transporting of raw materials to the Production Facility (based on distance transported and fuel used).	<u>Finding</u>	The auditor noted the following issues regarding the LCA calculations: - The GHG emissions for machinery had been calculated but not included in the tCO₂e/tonne of rice husk emissions factor. However, the emissions were considered in the final CORC calculations; The quantity of biochar sold had been used, instead of the quantity of biochar produced, to calculate the GHG emissions and the tCO₂e/tonne of biochar related to production. These calculations impacted the E_{biomass}, E_{production} and E_{stored}. Although the impact was insignificant due to the similar values of production and sales in this reporting period; - The emissions associated with biochar sales packaging/bags had not been accounted for in the LCA; and - For stages where the quantity of rice husk was not relevant (e.g., during biochar application and bagging), the associated emissions factors in ton of biochar had been converted to ton of rice husk, which is then re-converted to ton of biochar using the ratio of rice husk vs biochar, instead of calculating directly from the tCO₂e/tonne of biochar. Subsequently, Alcom reviewed and amended their calculations. These errors had an impact on the CORC calculations (refer to Appendix B: Summary of Calculation Errors).	Corrective Action Request 3 Recommendation 3

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Confirm the calculations used to quantify emissions from the process. These must account for: - The energy created by the biochar. - The energy source used in the production process. - Cultivating and harvesting of raw materials (forest vs other biomass). - Transporting of raw materials to the Production Facility (based on distance transported and fuel used). (cont.)	<u>Finding</u>	The auditor noted that the production of biochar stopped on the 2 nd June 2023, however, Alcom had considered the delivery of rice husk until December 2023 for the LCA calculation. Subsequently, Alcom amended their LCA to consider the rice husk delivery until the biochar production stopped.	Corrective Action Request 3 Recommendation 3
	<u>Observation</u>	The auditor noted that the quantity of diesel used for tilling was reasonable, however it was based on discussions with farmers which had not been documented/evidence in a manner that can be verified by the auditor.	Recommendation 4
Confirm the CO ₂ Removal Supplier is able to calculate the CO ₂ Removal independently.	Y	The auditor reviewed the evidence provided by the audited body and confirmed that the CO ₂ Removal Supplier was able to calculate the CO ₂ removal independently.	N/A

Confirmation of Production Facility Eligibility

Table 4: Production Facility assessment

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Confirm the Production Facility Eligibility under the general rules of Puro Standard.	Y	The auditor confirmed that the production facility is eligible under The Puro Rules.	N/A
Confirm that the quantity of biochar produced and sold is documented via appropriate processes.	Y	The auditor confirmed during the virtual site visit that an appropriate system was in place to quantify the biochar produced and sold during the reporting period.	Recommendation 3

Quantification of CO₂ Removal

Table 5: Quantification of CO₂ Removal - Calculation Methodology

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Confirm that the quantification of CO ₂ removal is calculated using the Calculation formula of CO ₂ removal.	Y	The auditor examined the CORC calculator provided by the audited body and confirmed that the formulas applied in the quantification of CO ₂ removal for both biochar streams were in accordance with the Puro Rules.	N/A
Confirm that the inputs to the Calculation formula of CO ₂ removal are appropriate and consistent with the evidence provided.	<u>Finding</u>	The auditor noted the following issues with the inputs to the LCA calculations: – The incorrect number of days of operation had been used; – The quantity of biochar sold was ~1 tonne more than the quantity of biochar produced, as such the quantity of biochar produced had been used as the quantity of biochar sold because it was the most conservative of the two values; – Some receipts and/or logbooks for rice husk delivery, biochar produced and biochar sold had been incorrectly or not transcribed to the biochar inventory summary; Subsequently, Alcom reviewed and amended their inputs to the calculations. These errors had an impact on the CORC calculations (refer to Appendix B: Summary of Calculation Errors).	Corrective Action Request 3 Recommendation 3

Verification of Proofs

Table 6: Verification of proofs and documentation

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Confirm that the standing data for the Production Facility meets the requirements of the Biochar Methodology and is consistent with other evidence.	Y	The auditor reviewed and validated the standing data provided by the audited body and confirmed this was consistent with desktop testing and the virtual site visit.	N/A

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Confirm that the necessary proof and evidence documents are maintained by the Production Facility as per Section 5 of the Biochar Methodology ³ .	<u>Finding</u>	The auditor noted that Alcom had a procedure to ensure that a “no double-counting clause” is included in their delivery receipts/invoices, however it had not been included. The auditor confirmed that Alcom had a joint venture agreement with the provincial government, stating that Alcom has exclusive rights to the carbon credits generated.	Corrective Action Request 4 Recommendation 5

Peer Reviewer Conclusion

Name of the peer reviewer	Mark Wallace
Peer reviewer's credentials	• Bachelor of Mechanical Engineering (Honours), Australian National University. • Performance Measurement and Verification Analyst (PMVA) • Climate Active Registered Consultant
Peer reviewer contact details	Email: mark@energylinkservices.com.au Phone: +61 475 894 971
Outcome of the evaluation undertaken by the peer reviewer	Minor amendments to the report.

³ Information in Section 5 of the Biochar Methodology includes:

- Proof of sustainability of raw material for forest and/or waste biomass.
- LCA data for biomass and biochar production.
- Justification on the soil temperature used for the calculation of the biochar sequestration.
- Proof of product quality, production volume, sales and end use of biochar.
- Proof of no double counting/C positive marketing.

Appendix A: Table of Site Visit Findings

Table 7: Site visit summary table

Requirement	Requirement Met?	Verification Remarks	Corrective Action Request / Recommendations
Check that the raw material is of eligible type and sustainably sourced.	Y	The auditor confirmed that the biochar was produced from waste biomass raw materials. Alcom was able to provide the necessary evidence to demonstrate that the feedstock used for biochar production was derived from sustainable raw materials.	N/A
Check that the LCA provided is consistent with observations on site.	Y	The auditor confirmed that the LCA provided by the audited body was an accurate representation of the Production Facility and used appropriate assumptions where necessary.	N/A
Confirm that no fossil fuel is used for heating the pyrolysis reactor, and the pyrolysis gases are recovered or combusted.	Y	The auditor confirmed, via the virtual site visit that the biochar production process had met the requirements of the Biochar Methodology.	N/A
Check that the Production Facility's documentation system is accurate and reliable for recording the quantity of biochar produced and sold.	Partial	The auditor confirmed during the virtual site visit that an appropriate system was in place to quantify the biochar produced and sold during the reporting period. However, the auditor identified that the biochar produced was 1 tonne less than the biochar sold.	Corrective Action Request 3 Recommendation 3
Check that appropriate metering infrastructure is in place and calibrated correctly to quantify the Production Facility output and the energy use of the Production Facility.	Y	The auditor confirmed during the virtual site visit that appropriate metering infrastructure was in place to quantify the produced biochar, and that the equipment used was calibrated.	N/A
Check that appropriate processes are in place to quantify the inputs to the Calculation formula of CO ₂ removal for the purpose of Preparing the Output Report and calculating CORCs.	Partial	The auditor reviewed the evidence provided by the audited body and noted that the GHG emissions for machinery had been calculated, but not included in the tCO ₂ e/ton of rice husk and that GHG emissions associated with packaging/bags for biochar sold had not been accounted for in the LCA.	Corrective Action Request 3 Recommendation 3

Appendix B: Summary of Calculation Errors

A summary of the calculation errors and the associated impacts on CORC calculation is provided in Table 8.

Table 8: Summary of Calculation Errors

No.	Source of Error	CORC calculation	Corrected CORC calculation	Abs. Error (CORCs)	Net Error (CORCs)	Abs. Error Rate (%)	Net Error Rate (%)
1	Error in the quantity of rice husk delivery and biochar sold	451	450	1	1 OC	0.22%	0.22%
2	Error in GHG emissions associated biochar sold packaging / bagging not accounted for the in the LCA	450	447	3	3 OC	0.67%	0.67%
3	Error in LCA inputs	447	442	5	5 OC	1.12%	1.12%
	Total	451	442	9	9 OC	2.00%	2.00%

*OC = Overcalculation/UC = Undercalculation

Appendix CC: Previous Audit Recommendation

In the previous audit dated 10 July 2023, EnergyLink Services Pty Ltd recommended that Alcom enhance their record keeping procedures to measure and monitor the GHG emissions associated with the biochar production over time and revisit the data inputs from its LCA to reflect the actual energy consumption and production data, including:

- Electricity consumption from the facility;
- Fuel consumption for the pre-heating of the gasifier and mobile equipment;
- Documenting all production information (incl. feedstock consumption) in a daily log;
- Ensure that every biochar produced bag is properly labelled, including implementing a bag number control; and
- Periodically monitor and record the moisture levels from biochar.

A summary of Alcom's responses is provided below.

Table 9: Summary of Previous Audit Recommendation

No.	Recommendation	Addressed (Y/N)	Comments	Recommendation / Suggestion for Improvement
1	Enhance their record keeping procedures to measure and monitor the GHG emissions associated with the biochar production over time.	Y	The auditor confirmed that Alcom's LCA had considered the entire applicable period instead of only applying an 18-day period.	N/A
2	Electricity consumption from the facility.	Partial	The auditor noted that Alcom is currently conducting electrical works with Nueva Ecija Electricity Cooperative (NEECO) to split the electricity use between grain drying unit and the gasifier. In the meantime, Alcom had considered the entire electricity consumption from the biochar facility as a conservative measure for their LCA.	Carry Forward Recommendation 1
3	Fuel consumption for the pre-heating of the gasifier and mobile equipment.	Y	The auditor confirmed that, where possible, Alcom had provided receipts for fuel purchased.	N/A
4	Documenting all production information (incl. feedstock consumption) in a daily log.	Y	The auditor confirmed that Alcom had documented all their production information as daily logbooks.	N/A

No.	Recommendation	Addressed (Y/N)	Comments	Recommendation / Suggestion for Improvement
5	Ensure that every biochar produced bag is properly labelled, including implementing a bag number control.	Y	The auditor confirmed that Alcom had a procedure to ensure that each produced bag is properly labelled and numbered.	N/A
6	Periodically monitor and record the moisture levels from biochar.	Y	The auditor confirmed that Alcom had a procedure to monitor their moisture levels.	N/A